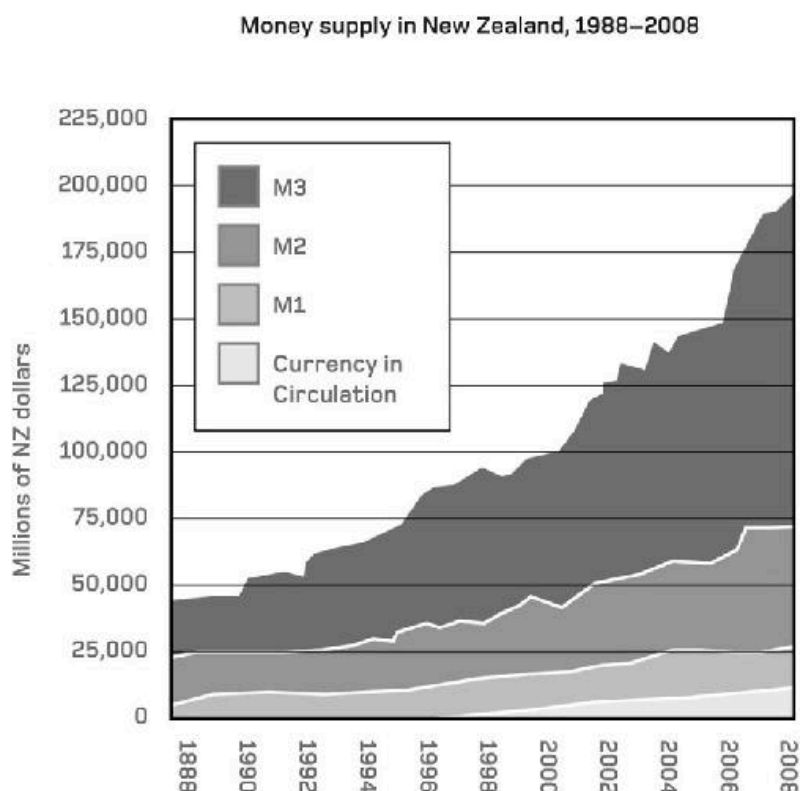


Money supply



The money supply is the overall level of monetary assets in an economy. A variety of different kinds of assets can act as money, so the money supply is made up of various components, depending on how different economists or statistical bodies choose to define it.

Reference is often made to 'narrow' or 'broad' money. Narrow money is made up mainly of the most tangible forms: notes and coins. In developed economies, however, the main component of the money supply is the stock of money in bank accounts, and broader definitions of the money supply can include bank deposits in current and savings accounts. As financial systems become more complex they offer a greater choice of money-like assets. This means that precise control of the money supply by the authorities can be difficult. Different forms of money are sometimes denoted by the terms M0, M1, M2, M3 and M4 from

narrow to broad, although once again, organizations may define these categories in different ways.